SpaceX is said to draw huge demand for first bond sale

Jun 23, 2026, 2:41 PM ET | **Space Exploration Technologies Corp. (SPCX) Stock** | NVDA | By: Rob Williams, SA News Editor

SpaceX (SPCX) is finding that bond investors are a tougher audience than stock buyers, Bloomberg News reported Tuesday.

The Elon Musk-led company is expected to raise $25 billion through its first-ever bond offering, attracting roughly $90 billion in orders despite offering yields well above comparable investment-grade corporate debt. The deal marks SpaceX's (SPCX) debut in the public bond market following its record-setting IPO earlier this month.

For equity investors, SpaceX (SPCX) remains a bet on ambitious growth initiatives spanning rockets, satellite communications, artificial intelligence and other long-term projects. Bond investors, however, are focused on a different question: whether the company can generate enough cash to repay its debt while funding those ambitions. The strong demand for the offering suggests confidence in SpaceX's (SPCX) long-term prospects, but the relatively generous yields indicate investors still want compensation for the company's cash burn and spending plans.

Initial pricing on SpaceX's 10-year bonds tightened during the marketing process to about 1.4 percentage points above comparable Treasury yields. Even so, that remains notably wider than similarly rated technology issuers such as Intel, highlighting investor caution.

While the deal attracted significant interest, much of the demand was concentrated in the shortest-maturity bonds, a sign that buyers may be more comfortable with near-term risk than with SpaceX's (SPCX) longer-range financial outlook.

Credit analysts have noted that SpaceX (SPCX) is expected to continue consuming cash for several years as it expands its Starlink satellite network, develops AI initiatives and invests in other large-scale projects. Revenue is projected to rise, but capital expenditures are expected to increase even faster.

That dynamic creates a different risk-reward profile for bondholders than for shareholders. Equity investors can benefit if SpaceX's most ambitious projects succeed. Bondholders generally receive only their scheduled interest payments and repayment of principal.

SpaceX (SPCX) enters the market from a position of financial strength, however. The company reportedly held more than $100 billion in cash as of mid-June and has stated its intention to maintain investment-grade credit ratings. Analysts have also noted that SpaceX could slow investment spending or raise additional equity capital if needed.

The offering arrives just days after Nvidia's (NVDA) heavily subscribed bond sale, which also attracted enormous investor demand. Yet Nvidia's bonds have already weakened modestly in secondary trading, a reminder that large order books do not always translate into strong long-term performance.

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How to make a small fortune in the bond market. Start with a large fortune

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f SA

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every day the overall liquidity will get worse and worse.... too many grifters sucking out the oxygen.

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Anonymous_User_999

Jun 23, 2026, 9:53 PM

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already hitting the credit markets. $80 billion from the IPO apparently wasn't enough. At the rate that AI CAPEX is exploding inductry wide, this probably wont be enough either.

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Illuminati Investments

Jun 23, 2026, 9:28 PM

Analyst Premium Investing Group Comments (27.07K) | + Follow

SPCX bonds rated investment grade by the rating agencies that brought you triple-A MBSs.

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> **Chris Lau**
>
> Yesterday, 12:10 PM
>
> Investing Group Leader Premium Comments (9.94K) | + Follow
>
> *@Illuminati Investments* When this profitable ai* wipes the smug off Cursor, every rating agency staff who got the default wrong will still have a job.
>
> *
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> seekingalpha.com/...
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TommyIrish

Jun 23, 2026, 6:44 PM

Premium Comments (24.59K) | + Follow

Govt bond for 5% yield for 10 years or never sleep at night to reach for 6%…

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B

blenkep2

Jun 23, 2026, 6:36 PM

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Interesting that the market likes the shorter term tranches. Concern about the long term viability of the company?

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L

lunasea2

Jun 23, 2026, 9:17 PM

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@blenkep2 That too, but shorter tranches (maturities) don't get hammered with market interest rate rises as much as the longer maturities.

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blenkep2

Yesterday, 8:08 AM

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@lunasea2 good point.

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mike ekim

Jun 23, 2026, 5:45 PM

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i don't get the up side for someone buying el-ron bonds?? ...should'nt these zombies be buying spac x stock instead??

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SpartaTodd

Jun 23, 2026, 6:17 PM

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@mike ekim The stock will pump when the N100 funds have to buy in the next two weeks then in August the insiders can sell 20-30% and there are constant unlocks until 180 days (The normal unlock). The market will be flooded with shares, imho, the peak price will be reached in July. The bonds on the other hand will be paid off because they have so much cash and the govt. will not let the space launch business fail. In other words, the bonds are a better bet than the equity.

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T

Tanuge

Jun 23, 2026, 6:38 PM

Premium Investing Group Comments (2.87K) | + Follow

@mike ekim The common stock could go to $20 or even $0. That might not be all that likely but $80 wouldn't be surprising at all. The bonds will probably never go much below par unless interest rates go up a lot

Reply Like

J

justanopion

Jun 23, 2026, 4:53 PM

Premium Investing Group Comments (4.6K) | + Follow

This stock will be at 40 to 50$ once everyone is able to sell their shares. Incredible debt and no end in sight. Elon thanks you retail investors

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MilburnPennybags Jun 23, 2026, 4:47 PM

Comments (2.41K) | + Follow

SpaceX bond sale is viewed as a positive financial milestone because the $89 billion in orders outstripped the targeted $20 billion to $25 billion raise by over four times. This massive demand allowed the company to lower its borrowing costs and highlights strong confidence in its long-term solvency.

Over $89 billion (more than 4x oversubscribed).

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LenceFlat Jun 23, 2026, 5:27 PM

Premium Comments (1.13K) | + Follow

@MilburnPennybags that is a stunning amount absolutely…meanwhile over at Oracle Paramount Netflix Salesforce Meta QCOM long AAL strong buy

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MilburnPennybags Jun 23, 2026, 7:11 PM

Comments (2.41K) | + Follow

@LenceFlat

Yup, I nibbled on meta today.

Reply Like (1)

L

lunasea2 Jun 23, 2026, 9:20 PM

Premium Comments (957) | + Follow

@MilburnPennybags There isn't one single ounce of any reasonable financial explanation for that fact. Pure Musk adulation based on hype.

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Kansas King Jun 23, 2026, 4:35 PM

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If it's not clear yet, Wall Street is basically saying that they want Elon Musk to be the leader in charge of AI and future technologies. They're willing to write him a blank check to buy up whatever companies he needs to be able to achieve his goals.

Reply Like (3)

W

Wellington999 Jun 23, 2026, 9:57 PM

Comments (6.99K) | + Follow

@Kansas King Yes, Wall St. likes winners and even holds on to companies look past their prime like msft and meta..what happens when the government wants to buy a stake?

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A

Anonymous_User_999

Yesterday, 8:08 AM

Premium Comments (7.11K) | + Follow

@Kansas King 'Wall Street is basically saying that they want Elon Musk to be the leader in charge of AI'

Yet Grok is a distant 4th

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Kansas King

Yesterday, 9:25 AM

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@Anonymous_User_999

I didn't say handing Musk the keys to the kingdom is logical.

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D

DickAlpha

Jun 23, 2026, 4:35 PM

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just keeps going and going and going.

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Winnertakesall

Jun 23, 2026, 4:35 PM

Premium Investing Group Comments (10.26K) | + Follow

Elon is just fleecing the masses ... SpaceX has been around since 2002 and it's still burning cash. That's 24 years of being a loser, why would anyone think things would change?? That's like betting that some 40 year old dead beat kid in the basement is suddenly going to turn things around and become successful.

Reply Like (6) Translated

N

nayrv

Jun 23, 2026, 4:25 PM

Premium Comments (535) | + Follow

What, the IPO wasn't already enough added liquidity?

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E

Entreri

Jun 23, 2026, 4:07 PM

Premium Comments (11.69K) | + Follow

Just 1.4 ppt above T-bill.

I wouldn't touch it.

While Elon can pump it good, SpaceX will continue to need massive cash inflows.

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GR Value

Jun 23, 2026, 4:12 PM

Premium Comments (19.24K) | + Follow

@Entreri Let's even assume somehow the market cap stays at 2 trillion for the next 5 years and it sidelines. It will get ravaged by inflation of 4-5% a year. The same thing happened to Tesla. The fools in 2021 paid 415 highs and it's not only 30 dollars lower than that but almost 5 years of interest wiping their holdings out 25%.

It's an insane hold no matter how you view it. Although with just 4-10% of the float public, nobody can dismiss the fact that the Robin Hoods won't try to buy it at 180 or 200 again you never know. I doubt it though. I think it's going to 90-115. I mean SpaceX is a real company and all, but the price is totally absurd. It's not in the realm of rational in my view. *(edited)*

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vooch
Yesterday, 2:43 AM
Comments (18.19K) | + Follow

@Entreri

are these secured or unsecured ?

Reply Like

Hyunjin Park
Jun 23, 2026, 3:42 PM
Analyst Premium Comments (81) | + Follow

Bonds have par value of $1000 and cannot be bought in fractional units, effectively pricing out Elon-worshipping burger flippers.

Reply Like (6)

H
HPBunker
Jun 23, 2026, 3:47 PM
Comments (12.83K) | + Follow

@Hyunjin Park
Is it not possible to buy 0DTE calls on SPCX bonds? That would be sad.

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Duncan20903
Jun 23, 2026, 5:59 PM
Comments (6.87K) | + Follow

@HPBunker

I'm sure that you could find a counterparty if that's your preferred wager. But you will have to wait until after settlement.

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sodajerk
Jun 23, 2026, 3:06 PM
Premium Investing Group Alpha Picks Comments (437) | + Follow

I hear they're using all the Cybertrucks that Tesla dumped on them as collateral

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Tom0co
Jun 23, 2026, 2:54 PM
Premium Comments (272) | + Follow

😳

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S

SpartaTodd

Jun 23, 2026, 2:46 PM

Premium Investing Group Comments (128) | + Follow

Just raised 85B in ipo and need to take on debt. They also have to pay off 20B bridge loan so 90B cash total and I hear they want another 75B in debt or more. Eventually we are talking real money here...

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Coliosis19

Jun 23, 2026, 2:52 PM

Premium Investing Group Comments (257) | + Follow

@SpartaTodd we already knew it was bad. We're all just waiting for reality to set in....

Reply Like (5)

C

CryptoLudolf

Jun 23, 2026, 4:19 PM

Premium Investing Group Comments (1.24K) | + Follow

@SpartaTodd The bridge loan was for xAI (aka X, formerly Twitter). Congrats SpaceX bulls, you bought twitter, a dying business wrapped up with Musk's latest pump theme, Space. This is more of an AI debt company than a Space company. Wake up people.

Reply Like (2)

S

SpartaTodd

Jun 23, 2026, 6:20 PM

Premium Investing Group Comments (128) | + Follow

@CryptoLudolf Yes, it's the xAI loan they have to pay off. They are leasing out all the compute that you figure they would need for their own AI to Google, Anthropic, and now reflection. All the agreements to lease their compute can be backed out in like 90 days. Looks like they want to juice the revenue for this quarter release. Typical Elon con, always with the one-time juice, related party transactions, etc. They have done so much to pump for the unorthodox early release in August. *(edited)*

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